

PART I

The Nuts and Bolts of Analysis

First and foremost, all investors must do their homework—only doing this homework well doesn't mean getting a gold star from the teacher. The stakes are higher—it makes the difference between winning and losing fortunes. In the opening essay, Warren Buffett declares that facts about a company and its track record rule whether to invest. Having the facts right makes you right, and what others say, whether they are company spokespeople or the media, must be ignored. In addition to studying a company's financials, reading up on economic and political issues can be crucial. As Jim Rogers, who was once George Soros' partner, warns: "The smart investor learns to listen to the popular press with an ear tuned for panic extremes." The essays in Part I make it clear that analysis goes beyond looking at P/E ratios and book values.